

Employee Grades Reference

Document: TEP-009 **Version:** 1.2 **Effective Date:** January 1, 2025 **Owner:** Human Resources, in coordination with Finance Operations

1. Purpose

This reference document defines the Company's employee grade system as used in the Travel & Expense Policy framework. It does not establish compensation or organizational authority — those are governed by separate HR documents.

2. Grade ladder

Grade	Typical title	Approval authority
Grade 1	Associate / Coordinator	None
Grade 2	Senior Associate	None
Grade 3	Specialist	Approves own travel up to \$500
Grade 4	Senior Specialist	Approves own travel up to \$1,000
Grade 5	Manager	Approves direct-report travel up to \$2,000
Grade 6	Senior Manager	Approves direct-report travel up to \$3,000
Grade 7	Director	Approves up to \$5,000; first VP-level approval
Grade 8	Senior Director	Approves up to \$10,000
Grade 9	Vice President	Approves up to \$25,000; required approver for international travel
Grade 10	SVP / C-suite	Unlimited within budget authority

3. Application to travel approvals

3.1. Per the Travel & Expense Policy (TEP-001 §4), submissions are subject to approval thresholds. The grade ladder above defines who holds the relevant approval authority.

3.2. **VP approval** (referred to throughout the policy suite) means approval from a Grade 9 employee or above.

3.3. **Director approval** means approval from a Grade 7 employee or above.

3.4. **Manager approval** means approval from the employee's direct manager, regardless of that manager's grade, provided the manager holds approval authority for the relevant amount.

4. Per-diem and lodging tier relationship

4.1. The employee's grade does not change the applicable per-diem rate or lodging tier cap. All employees on the same trip are subject to the same caps.

4.2. Grade does affect approval thresholds (Section 3) but not entitlement to expense categories.

5. Acting capacity

Employees acting in a temporary higher-grade capacity (e.g., a Senior Manager covering for a Director on leave) may exercise the approval authority of the higher grade only when formally designated in writing by the absent manager's manager.

6. Definitions

- **Grade** — A numerical classification of an employee's level in the Company hierarchy. Grades are independent of job family and title.
- **Approval authority** — The maximum dollar amount of expense the employee may approve for others. An employee always retains full approval authority for their own expenses subject to compliance.
- **Direct report** — An employee whose primary reporting line is to the approver, as reflected in Workday.
- **Acting capacity** — A temporary formal designation of higher-grade authority during the incumbent's absence.

7. Related documents

- TEP-001 Travel & Expense Policy — Overview (approval thresholds)
- TEP-010 Corporate Card Policy (card eligibility by grade)
- TEP-013 International Travel Policy (VP approval requirement)
- HR-201 Compensation Framework (separate from this document; HR-managed)

8. Document control

Version	Date	Author	Change
1.0	2020-10-01	A. Singh	Initial publication

Version	Date	Author	Change
1.1	2022-08-12	A. Singh	Added Grade 10 SVP/C-suite classification
1.2	2025-01-01	J. Whitman	Annual review

Next scheduled review: 2026-01-01 **Document owner:** Human Resources, in coordination with Finance Operations hr@northwindlogistics.com **Approver:** Chief People Officer **Distribution:** All employees; available on intranet at intranet.northwindlogistics.com/policies/tep-009

Corporate Card Policy

Document: TEP-010 **Version:** 2.2 **Effective Date:** January 1, 2025 **Owner:** Finance Operations

1. Eligibility

1.1. Corporate Cards are issued to employees at Grade 4 and above, and to any employee whose role requires regular business travel or client entertainment regardless of grade, subject to manager nomination and Finance Operations approval.

1.2. Contractors and temporary employees are not eligible for Corporate Cards.

2. Use of the Corporate Card

2.1. The Corporate Card may be used **only** for business expenses that are reimbursable under the Travel & Expense Policy framework.

2.2. **Personal use of the Corporate Card is prohibited**, even where the employee intends to repay the Company.

2.3. The Corporate Card should be used as the primary payment method for business travel and entertainment. Use of a personal card in lieu of the Corporate Card requires:

- A documented business reason (e.g., the Corporate Card was declined, the vendor does not accept the card brand)
- Manager approval at the time of reimbursement
- Submission of the personal card receipt with the expense report

3. Expense submission

3.1. All Corporate Card charges must be reconciled and submitted as part of an expense report within 30 days of the statement date, even if the charge is suspect or under dispute.

3.2. Unreconciled charges over 60 days old will be deducted from the employee's payroll without further notice, in accordance with the Cardholder Agreement signed at card issuance.

4. Card security

4.1. The Corporate Card may not be shared, lent, or used by anyone other than the named cardholder.

4.2. Lost or stolen cards must be reported to the card issuer and to Finance Operations within 24 hours of discovery.

4.3. The card PIN may not be written down or stored alongside the card.

5. Prohibited charges

The following are explicitly prohibited on the Corporate Card and constitute a policy violation even if subsequently disputed or refunded:

- Cash advances (except where authorized for international travel)
- Personal purchases of any kind
- Gambling, adult entertainment, or political contributions
- Alcohol in violation of TEP-003 (Alcohol Policy)
- Purchases on behalf of family members, friends, or third parties

6. Disputed charges

6.1. Charges the cardholder believes to be fraudulent or in error must be disputed with the card issuer within the issuer's dispute window (typically 60 days from the statement date).

6.2. Disputed charges still appear on the expense report. The cardholder should mark them as "Disputed — Awaiting Resolution" and submit supporting documentation.

7. Card return

The Corporate Card must be returned to Finance Operations on the employee's last working day. Charges incurred after the last working day are the employee's personal liability and will be recovered.

8. Definitions

- **Corporate Card** — A commercial credit card issued in the employee's name under the Company's commercial card program with the card issuer.
- **Cardholder Agreement** — The contract signed by the employee at card issuance establishing personal liability for misuse.
- **Reconciliation** — The process of matching each card statement charge to a submitted expense report line item with appropriate documentation.
- **Dispute** — A formal challenge to a card charge filed with the card issuer alleging fraud or error.

9. Related documents

- TEP-001 Travel & Expense Policy — Overview

- TEP-003 Alcohol Policy (prohibited alcohol charges)
- TEP-007 Receipt Requirements Policy (supporting documentation)
- TEP-009 Employee Grades Reference (eligibility by grade)
- SEC-202 Acceptable Use Policy (general IT/payment-system safeguards)

10. Document control

Version	Date	Author	Change
1.0	2019-09-01	A. Singh	Initial publication
2.0	2022-03-15	A. Singh	Aligned with new card issuer post-RFP
2.1	2023-11-20	J. Whitman	Strengthened personal-use prohibition
2.2	2025-01-01	J. Whitman	Annual review

Next scheduled review: 2026-01-01 **Document owner:** Finance Operations fin-ops@northwindlogistics.com **Approver:** S. Chen, VP Finance **Distribution:** Eligible cardholders; available on intranet at intranet.northwindlogistics.com/policies/tep-010

Gifts and Entertainment Policy

Document: TEP-012 **Version:** 1.4 **Effective Date:** January 1, 2025 **Owner:** Legal & Finance Operations

1. Scope

This policy governs the giving and receiving of gifts, hospitality, and entertainment in the context of business relationships with clients, vendors, prospects, and other external parties. It supplements the Code of Conduct (COC-001) and the Meals and Entertainment Policy (TEP-002).

2. Guiding principles

2.1. Gifts and entertainment should be modest, infrequent, and clearly intended to maintain a business relationship — not to influence a specific business decision.

2.2. When in doubt, decline.

3. Gifts received from third parties

3.1. **Cash and cash equivalents** (including gift cards exceeding \$25) may never be accepted, regardless of source.

3.2. **Non-cash gifts** may be accepted from a single source up to a value of **\$50 per gift and \$200 cumulatively per calendar year**.

3.3. Gifts valued above \$50 must be declined and returned, with a polite note referencing this policy. Where return is impractical (e.g., perishable items, hand-delivered ceremonial gifts in cultures where refusal is offensive), the employee should accept the item and turn it over to HR for donation or shared distribution.

3.4. Promotional items of nominal value (branded pens, notepads, bottles of water) are not considered gifts under this policy.

4. Gifts given to clients and prospects

4.1. Client gifts are permitted up to **\$100 per recipient per calendar year**, aggregated across all gifts to that individual.

4.2. Gifts to government officials, public-sector employees, or representatives of state-owned enterprises are prohibited unless specifically approved by the General Counsel in writing.

4.3. Cash and cash-equivalent gifts to clients are prohibited under all circumstances.

5. Entertainment

5.1. Client entertainment (meals, events, sporting events, etc.) is governed by the per-person caps in the Meals and Entertainment Policy (TEP-002 §4).

5.2. Entertainment that includes spouses or family members of either party requires VP-level approval and must have a clear business rationale.

5.3. **Tickets to events** (concerts, sporting events, theater) provided to employees by a third party must be declared if the face value exceeds \$50. If an employee is invited to attend an event in the company of the third party (i.e., the third party is also attending and there is a business discussion), the event is treated as entertainment rather than a gift, and the value limits in 3.2 do not apply — but the engagement should still be reasonable in frequency.

6. Anti-bribery

6.1. Nothing in this policy authorizes, condones, or permits any payment or thing of value provided with the intent of influencing an official act, securing an improper advantage, or rewarding the recipient for past favorable treatment. Such conduct violates the Foreign Corrupt Practices Act, the UK Bribery Act, and equivalent laws in other jurisdictions where the Company operates.

6.2. Suspected bribery should be reported immediately to the General Counsel or via the Ethics Hotline.

7. Recording and reporting

7.1. Gifts and entertainment that fall within the policy limits do not require individual disclosure.

7.2. Gifts and entertainment received above the limits in Section 3 must be reported to the employee's manager and to HR within 5 business days of receipt.

7.3. Business entertainment expensed to the Company is recorded on the expense report and is subject to the Meals and Entertainment Policy (TEP-002).

8. Definitions

- **Gift** — Anything of value transferred without commensurate consideration. Includes physical items, services, cash, gift cards, tickets, and other tangible benefits.
- **Promotional item** — A branded item of nominal value (typically under \$10) intended to promote the giver, such as pens, notepads, or branded merchandise.
- **Nominal value** — Generally items under \$10, distributed broadly rather than personally targeted.

- **Government official** — Any official, employee, or representative of any government agency, state-owned enterprise, or public international organization, including political candidates and party officials.

9. Related documents

- COC-001 Code of Conduct (§7 Gifts and Entertainment principles)
- TEP-002 Meals and Entertainment Policy (per-person caps for entertainment)
- TEP-003 Alcohol Policy
- LEG-101 Whistleblower and Ethics Reporting Policy
- LEG-201 Political Activity Policy (prohibitions on political contributions)

10. Document control

Version	Date	Author	Change
1.0	2020-04-15	M. Quincy	Initial publication
1.2	2022-12-08	M. Quincy	Strengthened government-official prohibition
1.4	2025-01-01	M. Quincy	Annual review

Next scheduled review: 2026-01-01 **Document owner:** Legal & Finance Operations
legal@northwindlogistics.com **Approver:** General Counsel **Distribution:** All employees; annual attestation required. Available on intranet at intranet.northwindlogistics.com/policies/tep-012